uncertainties, here are five broad developments to look out for.

COVID-19 TURNS ENDEMIC

While it might be hard to see this with Delta still potent and Omicron spreading, but along with the vaccinations, therapeutics and better medical management, the pandemic is turning endemic. Variants of the virus in less deadly form will likely remain with us. Vaccinations, along with more cautious social interactions, will become the norm. In terms of the economic impact, this will mean higher health spending and—in the same manner that influenza already imposes a productivity cost—the work week of labor and capital will be shortened as absenteeism rises and labor participation declines. All this will take some fraction off the level of GDP globally but will not affect its growth rate.

COP26 COMMITMENTS

The COP26 commitments to reach carbon neutrality are likely to impact not just future energy sources but also commodity prices. The path to carbon neutrality is unlikely to be a smooth glide, especially when every country pulls back on fossil fuel consumption at the same time without adequate alternatives. This year we have already seen natural gas prices surge in Europe as fossil fuel energy sources were cut back without stable alternatives in place. Similarly, China's decarbonisation efforts disrupted global commodity prices. The massive global efforts to find stable and more efficient green energy sources will be successful over time. In the interim, global commodity markets are likely to become more volatile with increasingly shorter cycles.

CHINA'S REGIME CHANGE

Although we expect China to rebound from the growth slow-down in 2021, a policy regime change is underway. Two aspects of this change are important. First, the shift from a growth-dominated target to a multiple-objectives framework means a greater tolerance for lower medium-term growth. While polices geared to fuel innovation and support high-value-added industries (green tech, biotech, computing) should support growth, other policies are likely to dampen near-term growth in the hopes of longer-term gains (financial deleveraging, decarbonisation, and a reduction in regional and income equality). Second, in the past, housing and industrial policies were moved counter-cyclically along with macroeconomic policies to strengthen the latter's effectiveness and reduce their transmission lags. With industrial and housing policies now firmly focused on long-term rather than cyclical objectives, the impact of macroeconomic policy changes has weakened, while their transmission lags have lengthened. It is likely that policies need to be recalibrated to be as effective as before. This is a learning process and could take time, which increases the risk of the authorities providing less-than-adequate policy support. The structural slowdown and the changes in China's growth engines also mean that economies linked to China will feel the impact. Both commodity and traditional manufacturing exporters to China will face the brunt of this change, while high-end manufacturing exporters are likely to gain.

PERMANENT COVID DAMAGE

In contrast to developed economies, we anticipate that the pandemic will leave behind permanent damage to emerging and developing economies' medium-term growth with substantial scarring to labor markets, household, and SME balance sheets. While there are some evocative stories about why productivity is entering a new golden era, including leapfrogging by digitisation, our estimates of the drivers of productivity growth in these economies point to a continuation of subdued trends in productivity. The slowdown in China's medium-term growth will also add to the pre-existing drags, such as aging populations, economic nationalism and trade protectionism.

WITH VACCINATIONS, THERAPEUTICS AND BETTER MEDICAL MANAGEMENT THE PANDEMIC IS TURNING ENDEMIC

COMING ELECTORAL CYCLES

Emerging market economies have been lucky that the pandemic and its aftermath did not coincide with major electoral changes. But in the coming 2-3 years, these economies will all face elections. From the few elections that have taken place in the shadow of the pandemic (mostly in Latin America), there has already been a decisive shift towards populism. The shift has already dented fiscal discipline and unnerved markets. The low growth of the pre-pandemic years and the likely damage to household (especially to the lower and middle-income classes) and SME balance sheets were significant factors in the political shift in Latin America. Other emerging market countries will also be tested as they go into elections. ■

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